

Northern New Jersey

Industrial - Q1 2026

savills

Core submarkets lead broader market decline

The broader Northern New Jersey industrial market continued to see both climbing vacancy and average asking rent declines in Q1 2026. From a pricing perspective, core port centric submarkets have continued to weigh on the broader market and have generally observed the largest declines from their peak market pricing. Notable submarkets such as Route 280/Suburban Essex, Bergen Central, Linden/Elizabeth, Union Central and Hudson Waterfront have all seen average asking rent declines of 16.0% or more from their relative peak. The same set of submarkets have also observed considerable vacancy hikes from peak market, averaging about 600 basis points (bps) from the respective 2022 lows.

Scarcity of large-format space influences development pipeline

The availability of large format buildings across the Northern New Jersey market has continued to remain relatively limited, a trend that was much the same throughout 2025. The vacancy rate in buildings 500,000 to 750,000 square feet (sf) closed Q1 2026 at 4.1% while buildings 750,000 sf or greater reported vacancy of 6.0%, both figures notably below that of smaller format inventory. Such trends have spurred development decisions, as evidenced by the recent groundbreaking of Raritan River Logistics Center in the Exit 10 submarket. The speculative project, slated to deliver in late 2026, is currently just one of four existing or under construction availabilities offering more than 950,000 sf.

Consumer-focused industries continue to drive leasing activity

Occupiers in the logistics, e-commerce and consumer goods industries play distinct roles in delivering products to consumers. In 2025, these industries accounted for 58.0% of bulk leasing activity, and in Q1 2026 they represented 46.0% of quarterly bulk volume. Sizable new commitments from companies such as DSV, Amazon and Reynolds Consumer Products underscore the market's value proposition: unparalleled East Coast port access, robust interstate infrastructure and one of the largest consumer markets in the world.

KEY STATISTICS

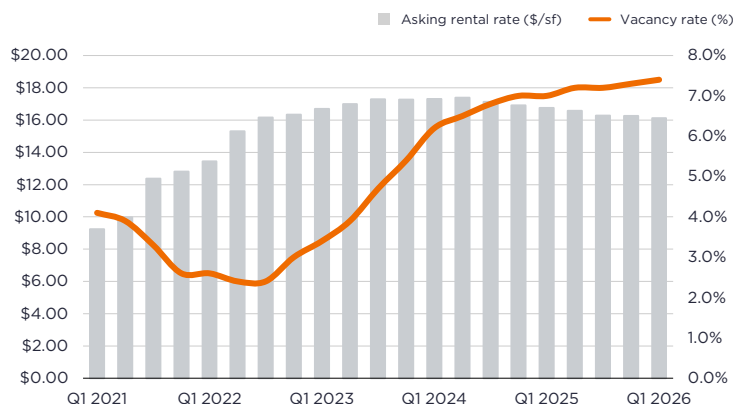
	Q1 2025	Q1 2026	Y-O-Y
Inventory	676.9 msf	688.4 msf	+11.5 msf
Vacancy rate	7.0%	7.4%	+40 bps
Asking rental rate	\$16.75	\$16.12	-3.8%
Net absorption YTD	2.1 msf	0.8 msf	-1.3 msf
Deliveries YTD	2.7 msf	1.3 msf	-1.4 msf
Under construction	9.0 msf	8.1 msf	-0.9 msf

Outlook

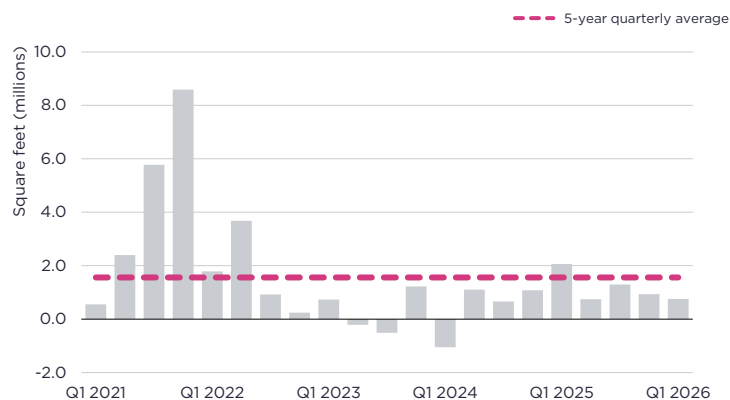
- 01** Continued positive absorption, slowed increases in vacancy and plateauing sublease availability suggest the market may be nearing a floor.
- 02** A pick up in the construction pipeline in Q1 2026 may persist through the year and favor larger format buildings.

- 03** The lion's share of new development will continue to break ground in the emerging nodes along the I-95 and 78 corridors.

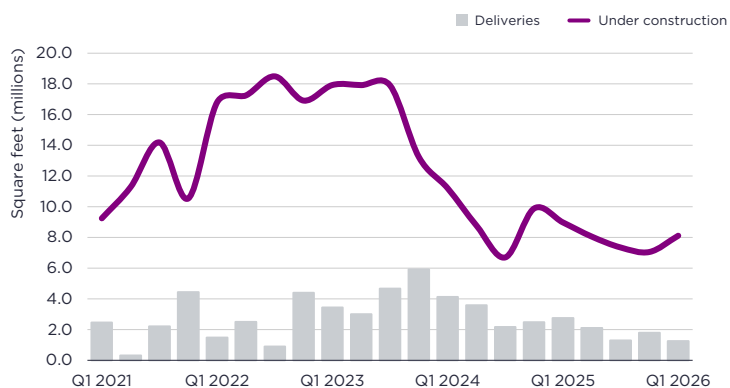
ASKING RENT AND VACANCY



NET ABSORPTION



DELIVERIES AND CONSTRUCTION



NOTABLE LEASES

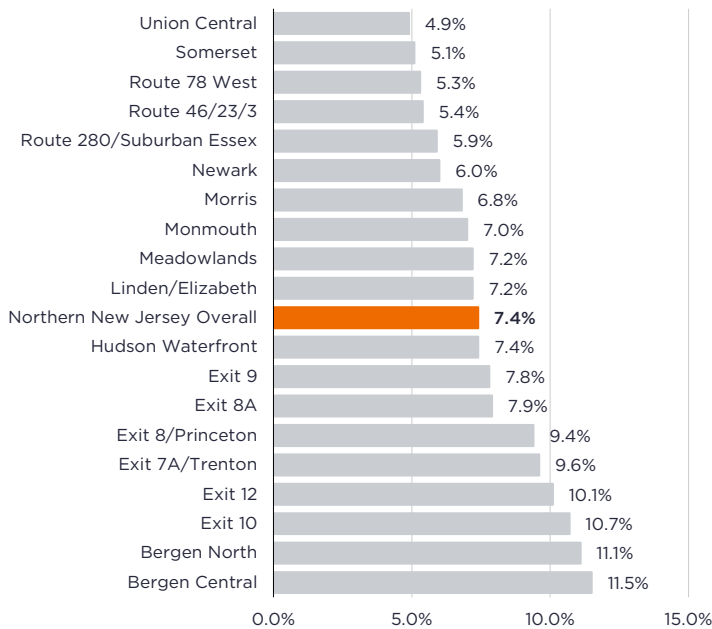
Source: Savills Research

Tenant	Size (SF)	Submarket	Address	Transaction type	Industry
Home Depot	772,000	Exit 8A	61 Station Road	Renewal	Retailer (Brick & Mortar)
FedEx	695,073	Exit 10	25-53 Talmadge Road	Renewal	Logistics & Distribution/3PLs
DSV	600,000	Exit 8A	201 Middlesex Center Blvd.	New Lease	Logistics & Distribution/3PLs
Amazon	490,429	Hudson Waterfront	1075 Secaucus Road	New Lease	E-commerce
Worldwide Logistics	451,916	Exit 10	76 Callahan Blvd. #3	New Lease	Logistics & Distribution/3PLs

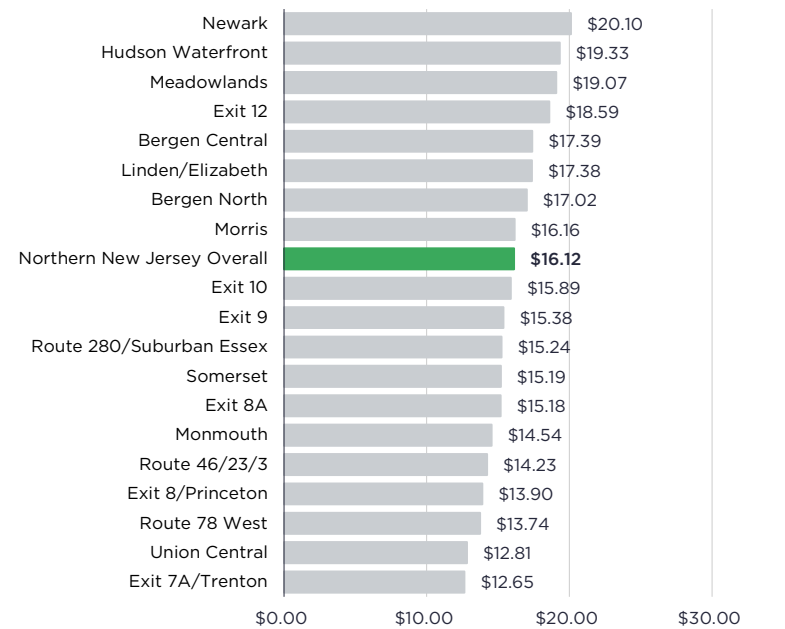
NEW DEVELOPMENTS

Developer / Tenant	Size (SF)	Submarket	Address	Development type	Status
Forsgate Industrial Partners & Russo Development / TJX	1,267,291	Meadowlands	2000 Valley Brook Avenue - A & B	Build-to-suit	Under Construction
Brookfield Properties	973,395	Exit 10	577 Smith Street	Speculative (available)	Under Construction
Russo Development / RealCold	602,409	Morris	111 Route 10 - High Point on 10	Speculative (partially leased)	Under Construction
EQT	596,750	Monmouth	203A & B State Route 33	Speculative (available)	Under Construction
CRG	575,900	Route 78 West	201-301 Industrial Drive	Speculative (available)	Delivered Q1 2026

VACANCY RATE COMPARISON (%) NORTHERN NEW JERSEY SUBMARKETS



RENTAL RATE COMPARISON (\$/SF)* NORTHERN NEW JERSEY SUBMARKETS



*based on all classes of available inventory

Savills Research

For more information, please contact us:

Savills New Jersey
201 Route 17 North
Suite 902
Rutherford, NJ 07070
+1 201 556 9700

Chris Bauers
Research Manager,
Industrial
cbauers@savills.us

[savills.us](https://www.savills.us)



Unless otherwise noted, all rents quoted throughout this report are average asking net (NNN) rents per square foot. Statistics are calculated using both direct and sublease information. Current and historical vacancy and rent data are subject to change due to changes in inventory. The information in this report is obtained from sources deemed reliable, but no representation is made as to the accuracy thereof. Unless otherwise noted, source for data is Savills Research. Copyright © 2026 Savills